
This act summary is provided for the convenience of the public and members of the General Assembly. It is intended to provide a general summary of the act and may not be exhaustive. It has been prepared by the staff of the Office of Legislative Counsel without input from members of the General Assembly. It is not intended to aid in the interpretation of legislation or to serve as a source of legislative intent.

Act No. 179 (S.328). An act relating to housing and common interest communities

Subjects: Housing; Executive; Secretary of State; common interest communities; Agency of Human Services; Service-Supported Housing Advisory Council; conservation and development; Office of the State Treasurer; Vermont Economic Development Authority; Vermont Housing Finance Agency; Rental Housing Revolving Loan Program; Department of Housing and Community Development; Vermont Rental Housing Improvement Program; municipal and county government; special assessments; municipal planning; municipal zoning; State Community Investment Program; Vermont Housing and Conservation Board

This act includes miscellaneous housing provisions enacted by the General Assembly.

The act requires the Secretary of State to provide the public with information about Vermont's common interest communities.

The act creates the Service-Supported Housing Advisory Council within the Department of Disabilities, Aging, and Independent Living for the purpose of identifying opportunities for increased alignment between human services programs and policies serving individuals who receive Medicaid-funded Developmental Disability Services and housing capital and support services programs.

The act increases the credit facility within the Office of the State Treasurer from 10 to 12.5 percent of the State's average cash balance and authorizes the Office of the State Treasurer to develop and administer an Off-Site Construction Accelerator Pilot Program to explore the possibility of reducing housing development costs through modular construction.

The act amends the definition of "eligible facility" or "eligible project" under the statutes governing the Vermont Economic Development Authority to authorize the Authority to finance multiunit housing developments of five or more units when certain conditions are met. The Authority shall defer to the Vermont Housing Finance Agency (VHFA) on projects and shall not fund projects being primarily developed for occupancy by persons and families of low or moderate income or projects utilizing funds from VHFA.

The act codifies the Rental Housing Revolving Loan Program within VHFA statutes and amends the Program to authorize funding for housing serving low-income individuals by allowing projects to serve individuals earning up to 80 or up to 150 percent of area median income as outlined in the Program requirements.

The act authorizes municipalities, upon approval of the legislative body of the municipality and subject to a minimum marketability safeguard, to issue revenue bonds backed solely by special assessments for the same purpose for which the special assessments are levied. The act also amends the chapter of Title 24 on indebtedness to

ensure that special assessments securing a special assessment bond are not treated as property taxes subject to retention for purposes of tax increment financing.

The act requires the housing element of a municipal plan to include an analysis of any regulatory, labor, and physical constraints preventing the development, redevelopment, or rehabilitation of sufficient housing to meet the housing needs and targets of the municipality and requires a description of what actions the municipality may take to accommodate the projected housing needs, including progress made towards construction of the housing units identified as needed to meet projected housing targets.

The act amends municipal zoning provisions to require municipal bylaws to allow mobile, modular, manufactured, and prefabricated housing in any district that allows year-round residential development, to remove authority for municipal bylaws to require more than four dwelling units in a multiunit dwelling served by municipal sewer and water on the same lot size as a single-unit dwelling, and prohibits municipal bylaws from requiring a duplex to be constructed on an owner-occupied lot. The removal of the authority for municipalities to require more than four units in a multiunit dwelling served by municipal water and sewer and the new prohibition on municipal bylaws requiring a duplex to be constructed on an owner-occupied lot are repealed on January 1, 2028.

The act amends the State Community Investment Program to allow access to the Program for downtown and village centers that are not recognized by the National Register of Historic Places if they are preexisting new town centers.

The act amends the statutes governing the State Treasurer credit facility annual report; the VHFA Rental Housing Revolving Loan Program annual report; and the Vermont Rental Housing Improvement Program annual report.

Finally, the act requires the Service-Supported Housing Advisory Council to report annually by November 15; the State Treasurer to report by January 15, 2027, regarding the Off-Site Construction Accelerator Pilot Program; the Office of Legislative Counsel to report on common interest communities by November 15, 2026; the Vermont Housing and Conservation Board to report by January 15, 2027, on progress made toward meeting the goals identified in the Farmworker Housing Needs Assessment of 2021; and the Department of Housing and Community Development to report on the corporate purchase of single- and two-family homes in Vermont by November 15, 2026.

Multiple effective dates, beginning on July 1, 2026